

### 3.1.5 Competitive and concentrated markets

Students come to an understanding that there are different types of market structures and explore competitive and non-competitive markets. Finally, students will look at the operation of the labour market and factors that determine wages.

#### 3.1.5.1 The importance of market structures on producers and consumers

| Content                       | Additional information                                                                                                                                                                                                                                                                                                  |
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| Identifying market structures | <p>Students should be able to understand:</p> <ul style="list-style-type: none"><li>• that there is a range of market structures</li><li>• factors such as the number of producers, the degree of product differentiation and ease of entry as being used to distinguish between different market structures.</li></ul> |

#### 3.1.5.2 Competitive markets

| Content                                                                                                                                                                                                                                    | Additional information                                                                                                                                                                                                                                                                                                                                                                                         |
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| <ul style="list-style-type: none"><li>• The main characteristics of a competitive market</li><li>• The impact of competitive markets on price and choice</li><li>• The economic impact of competition on producers and consumers</li></ul> | <p>Students should be able to understand:</p> <ul style="list-style-type: none"><li>• what is meant by a competitive market</li><li>• how producers operate in a competitive market</li><li>• the economic impact of competition on consumers, producers and workers</li><li>• why profits are likely to be lower in a competitive market than one that is dominated by a small number of producers.</li></ul> |

### 3.1.5.3 Non-competitive markets

| Content                                                                                                                                                                                                     | Additional information                                                                                                                                                                                                                                                                                                                                    |
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| <ul style="list-style-type: none"><li>• The main characteristics of a non-competitive market</li><li>• The impact of non-competitive markets on price and choice</li><li>• Monopoly and oligopoly</li></ul> | <p>Students should be able to understand:</p> <ul style="list-style-type: none"><li>• what is meant by a non-competitive market</li><li>• how producers operate in a non-competitive market</li><li>• the meaning of monopoly</li><li>• the meaning of oligopoly</li><li>• the causes and consequences of monopolistic and oligopolistic power.</li></ul> |

### 3.1.5.4 The labour market

| Content                                                                                                                                                                              | Additional information                                                                                                                                                                                                                                                                                                                   |
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| <ul style="list-style-type: none"><li>• The role and operation of the labour market</li><li>• Determination of wages through supply and demand</li><li>• Gross and net pay</li></ul> | <p>Students should be able to understand:</p> <ul style="list-style-type: none"><li>• wage determination using simple demand and supply analysis</li><li>• wage differentials within and between occupations</li><li>• the difference between gross and net pay</li><li>• how to calculate income including gross and net pay.</li></ul> |